

BEFORE THE DEPARTMENT OF FINANCIAL PROTECTION AND INNOVATION
OF THE STATE OF CALIFORNIA

Respondent.

The Commissioner of Financial Protection and Innovation (Commissioner) of the Department of Financial Protection and Innovation (Department) and Saturn Systems Inc. (Saturn Systems) (collectively the Parties) enter into this Consent Order with respect to the following facts:

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I.**Recitals*****Legal Background***

A. The Commissioner has jurisdiction over the licensing and regulation of persons engaged in the business of debt collection in California under the Debt Collection Licensing Act (DCLA) (Cal. Fin. Code §§ 100000 – 100025.)

B. The Commissioner also has jurisdiction over the regulation of persons who engage, have engaged, or propose to engage in offering or providing a consumer financial product or service in California and affiliated service providers under the California Consumer Financial Protection Law (CCFPL) (Cal. Fin. Code §§ 90000 – 90019). Collecting debt related to a consumer financial product or service is conduct covered by the CCFPL (Cal. Fin. Code § 90005(k)(10).)

Applicable Law – DCLA

C. Under the DCLA, “[n]o person shall engage in the business of debt collection in this state without first obtaining a license.” (Cal. Fin. Code § 100001(a).)

D. The DCLA provides that “[t]he commissioner shall allow any debt collector that submits an application before January 1, 2023, to operate pending the approval or denial of the application.” (Cal. Fin. Code § 100000.5(a).)

E. “Debt” is defined as “money, property, or their equivalent that is due or owing or alleged to be due or owing from a natural person to another person.” (Cal. Fin. Code § 100002(h).)

F. “Consumer debt” or “consumer credit” is defined as “money, property, or their equivalent, due or owing, or alleged to be due or owing, from a natural person by reason of a consumer credit transaction. The term “consumer debt” includes “charged-off consumer debt” as defined in Section 1788.50 of the Civil Code.” (Cal. Fin. Code § 100002(f).)

G. The DCLA defines “debt collection” as “any act or practice in connection with the collection of consumer debt.” (Cal. Fin. Code § 100002(i).)

H. “Debt collector” means “any person who, in the ordinary course of business, regularly, on the person’s own behalf or on behalf of others, engages in debt collection. The term includes any person who composes and sells, or offers to compose and sell, forms, letters and other

1 collection media used or intended to be used for debt collection. The term “debt collector” includes
2 “debt buyer” as defined in Section 1788.50 of the Civil Code.” (Cal. Fin. Code § 100002(j).)

3 ***Applicable Law – CCFPL***

4 I. Under the CCFPL, it is unlawful for a “covered person” to do any of the following:
5 “(1) Engage, have engaged, or propose to engage in any unlawful, unfair, deceptive, or abusive act
6 or practice with respect to consumer financial products or services. (2) Offer or provide to a
7 consumer any financial product or service not in conformity with any consumer financial law or
8 otherwise commit any act or omission in violation of a consumer financial law. . .” (Cal. Fin. Code
9 § 90003(a)(1)-(2).)

10 J. A “covered person” includes “[a]ny person that engages in offering or providing a
11 consumer financial product or service to a resident of this state.” (Cal. Fin. Code § 90005(f)(1).)

12 K. A “consumer financial product or service” is generally a “financial product or service
13 that is delivered, offered, or provided for use by consumers primarily for personal, family, or
14 household purposes.” (Cal. Fin. Code § 90005(e)(1).)

15 L. Under California Financial Code section 90015(d), if, in the opinion of the
16 Commissioner, any person engages, has engaged, or proposes to engage in any activity prohibited by
17 section 90003 or 90004, the Commissioner “may issue an order directing the person to desist and
18 refrain from engaging in the activity, act, practice, or course of business.” (Cal. Fin. Code §
19 90015(d).)

20 M. Under California Financial Code section 90012(c), in any administrative action
21 brought pursuant to the CCFPL, any person that violates, through any act or omission, any provision
22 of the CCFPL shall forfeit and pay a penalty not exceeding \$2,500.00 for each act or omission in
23 violation of the CCFPL. (Cal. Fin. Code § 90012(c)(1)(A)(i).)

24 ***Applicable Law – Rosenthal Fair Debt Collection Practices Act (Cal. Civ. Code §§ 1788 –***
25 ***1788.33) (Rosenthal)***

26 N. California Civil Code section 1788.14.5(e)(1) provides, in relevant part, “A debt
27 collector to which delinquent debt has been assigned shall include in its first written communication
28 with the debtor in no smaller than 12-point type, a separate prominent notice that contains the

You may request records showing the following: (1) that [insert name of debt collector] has the right to seek collection of the debt; (2) the debt balance, including an explanation of any interest charges and additional fees; (3) the date the debt became delinquent or the date of the last payment; (4) the name of the creditor and the account number associated with the debt; (5) the name and last known address of the debtor as it appeared in the creditor's records prior to assignment of the debt; and (6) the names of all persons or entities other than the debt collector to which the debt has been assigned, if applicable. You may also request from us a copy of the contract or other document evidencing your agreement to the debt.

A request for these records may be addressed to: [insert debt collector's active mailing address and email address, if applicable].”

Commissioner's Findings

O. At all relevant times, Saturn Systems is and was a Delaware Corporation with a principal place of business at 633 Rustlers Road, Bailey, Colorado, 80421.

P. Saturn Systems is a debt collector within the meaning of California Financial Code section 100002(j) of the DCLA.

Q. On or about September 17, 2024, Saturn Systems filed an application for a debt collection license pursuant to Cal. Fin. Code § 100001(a). As of January 23, 2025, the application is still pending.

R. Before September 17, 2024, Saturn Systems had never applied nor obtained a debt collection license in California. Since January 1, 2022, Saturn Systems has engaged in debt collection activities with 572 California consumers, in violation of California Financial Code section 100001(a).

S. In or around November 2022, Saturn Systems mailed a letter to a California consumer containing the following statement: “Our client may claim this as a deduction on their Federal Income Tax. The Internal Revenue Service may consider this as income to you!! You will then be required to report this amount on your income tax return and pay federal taxes on this amount.”

U. After July 2022, Saturn Systems mailed letters to two California consumers. Saturn Systems did not provide either consumer in its first written communication a separate prominent notice pursuant to California Civil Code section 1788.14.5(e)(1) that they may request records showing the following: (1) Saturn Systems has the right to seek collection of the debt; (2) the debt balance, including an explanation of any interest charges and additional fees; (3) the date the debt became delinquent or the date of the last payment; (4) the name of the creditor and the account number associated with the debt; (5) the name and last known address of the debtor as it appeared in the creditor's records prior to assignment of the debt; and (6) the names of all persons or entities other than the debt collector to which the debt has been assigned, if applicable, and a copy of the contract or other document evidencing their agreement to the debt.

NOW THEREFORE, in consideration of the foregoing, and the terms and conditions set forth herein, the Parties agree as follows:

Terms and Conditions

1. Purpose. This Consent Order resolves the issues before the Commissioner, set forth in paragraphs A to Y above, in a manner that avoids the expense of a hearing and other possible court proceedings, protects consumers, is in the public interest, and is consistent with the purposes, policies, and provisions of the DCLA, Rosenthal Act, and the CCFPL.

2. Finality of Consent Order. Saturn Systems agrees to comply with the terms and conditions of this Consent Order and stipulates that this Consent Order is hereby deemed final.

3. Desist and Refrain Order. Pursuant to California Financial Code section 90015(d)(1), Saturn Systems and their managers, officers, directors, agents, or employees, are

1 hereby ordered to desist and refrain from engaging in, or proposing to engage in, unlawful acts or
2 practices in collecting or attempting to collect any consumer debt in violation of California
3 Financial Code section 90003(a)(1), or offer or provide to a consumer any financial product or
4 service not in conformity with any consumer financial laws, in violation of California Financial
5 Code section 90003(a)(2), including but not limited to the following:

- 6 a. California Financial Code section 100001(a) of the DCLA; and
- 7 b. California Civil Code section 1788.14.5(e)(1).

8 Saturn Systems is also hereby ordered to desist and refrain from engaging in, or proposing to
9 engage in, deceptive acts or practices in collecting or attempting to collect any consumer debt in
10 violation of California Financial Code section 90003(a)(1). This desist and refrain order is final and
11 effective from the effective date of this Consent Order, as defined in Paragraph 26 (Effective Date).

12 4. Waiver of Hearing Rights. Saturn Systems acknowledges that the Commissioner is
13 ready, willing, and able to proceed with the filing of an enforcement action upon the charges
14 contained in this Consent Order. Saturn Systems hereby waives the right to any hearings, and to any
15 reconsideration, appeal, or other right to review which may be afforded pursuant to the DCLA,
16 CCFPL, the California Administrative Procedure Act, the California Code of Civil Procedure, or
17 any other provision of law. By waiving such rights, Saturn Systems effectively consents to this
18 Consent Order, and the Desist and Refrain Order contained herein, becoming final.

19 5. Administrative Penalty. Saturn Systems shall pay an administrative penalty of
20 \$90,000.00 to the Commissioner (Penalty) in installments payable as follows:

- 21 a. The first installment of \$40,000 is due and payable on the Effective Day of
22 the Consent Order.
- 23 b. Saturn Systems is to pay the remaining penalty amount of \$50,000 in equal
24 payments of \$5,000 every 30 days after the Effective Day until paid in full
25 (i.e., the first \$5,000 payment is due no later than March 9, 2025, and the last
26 \$5,000 payment is due no later than December 4, 2025).

27 The Penalty should be made payable in the form of a cashier's check or Automated Clearing House
28 deposit to the Department of Financial Protection and Innovation transmitted to the attention of

1 Accounting – Litigation, at the Department of Financial Protection and Innovation, 2102 Arena
2 Boulevard, Sacramento, California 95834. Notice of the payment shall be concurrently sent via
3 email to Natalie.Balderas-Fowler@dfpi.ca.gov.

4 6. Consideration. In consideration of Saturn Systems’ execution of this Consent Order,
5 the Commissioner agrees to approve Saturn Systems’ pending DCLA application within 5 business
6 days after Saturn Systems has paid the first installment of the Penalty as stated in Paragraph 5
7 above. No license application described in this paragraph will be denied solely based on the facts,
8 circumstances, or consensual resolution provided for in this Consent Order.

9 7. Full and Final Settlement. The parties hereby acknowledge and agree that this
10 Consent Order is intended to constitute a full, final, and complete resolution of the findings
11 contained herein, and that no further proceedings or actions will be brought by the Commissioner in
12 connection with the findings under the DCLA, Rosenthal Act, CCFPL or any other provision of
13 law, excepting therefrom any proceeding to enforce compliance with the terms of this Consent
14 Order.

15 8. Failure to Comply with Consent Order. Saturn Systems agrees that, if it fails to
16 comply with the terms of this Consent Order, the Commissioner may avail himself of any remedies
17 he has under the DCLA, CCFPL, or any other provision of law, until Saturn Systems is in
18 compliance. Saturn Systems waives any notice and hearing rights which may be afforded under the
19 DCLA, CCFPL, the California Administrative Procedure Act, the California Code of Civil
20 Procedure, or any other provision of law, that the Commissioner may use to ensure compliance with
21 this Consent Order.

22 9. Future Actions by Commissioner. If Saturn Systems fails to comply with any terms
23 of the Consent Order, the Commissioner may institute proceedings for any and all violations
24 otherwise resolved under this Consent Order. The Commissioner reserves the right to bring any
25 future actions against Saturn Systems, or any of their partners, owners, officers, shareholders,
26 directors, employees or successors for any and all unknown violations of the DCLA, Rosenthal Act,
27 and the CCFPL.
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1 10. Assisting Other Agencies. Nothing in this Consent Order limits the Commissioner’s
2 ability to assist any other government agency (city, county, state, or federal) with any prosecution,
3 administrative, civil or criminal brought by that agency against Saturn Systems or any other person
4 based upon any of the activities alleged in this matter or otherwise.

5 11. Binding. This Consent Order is binding on all heirs, assigns, and/or successors in
6 interest.

7 12. Information Willfully Withheld or Misrepresented. Notwithstanding paragraph 14
8 below (Reliance), this Consent Order may be revoked by the Commissioner, and the Commissioner
9 may pursue any and all remedies available under the law against Saturn Systems, if the
10 Commissioner discovers that Saturn Systems knowingly, or willfully withheld or misrepresented
11 material information.

12 13. Independent Legal Advice. Each party represents that he or she has received
13 independent advice from its counsel or representatives regarding the advisability of executing this
14 Consent Order.

15 14. Reliance. Each of the parties represents, warrants, and agrees that in executing this
16 Consent Order he or she has relied solely on the statements set forth herein and the advice of his or
17 her own counsel. Each of the parties further represents, warrants, and agrees that in executing this
18 Consent Order he or she has placed no reliance on any statement, representation, or promise of any
19 other party, or any other person or entity not expressly set forth herein, or upon the failure of any
20 party or any other person or entity to make any statement, representation or disclosure of anything
21 whatsoever. The parties have included this clause: (1) to preclude any claim that any party was in
22 any way fraudulently induced to execute this Consent Order; and (2) to preclude the introduction of
23 parol evidence to vary, interpret, supplement, or contradict the terms of this Consent Order.

24 15. Waiver, Amendments, and Modifications. No waiver, amendment, or modification
25 of this Consent Order will be valid or binding unless it is in writing and signed by each of the
26 parties. The waiver of any provision of this Consent Order will not be deemed a waiver of any
27 other provision. No waiver by either party of any breach of, or of compliance with, any condition
28 or provision of this Consent Order by the other party will be considered a waiver of any other

1 condition or provision or of the same condition or provision at another time.

2 16. Effect Upon Future Proceedings. If Saturn Systems applies for any license, permit or
3 qualification under the Commissioner's current or future jurisdiction, or are the subject of any
4 future action by the Commissioner to enforce this Consent Order, then the subject matter hereof
5 shall be admitted for the purpose of such application(s) or enforcement proceedings(s). This does
6 not impact the representations set forth herein in Paragraph 6.

7 17. Full Integration. This Consent Order is the final written expression and the complete
8 and exclusive statement of all the agreements, conditions, promises, representations, and covenants
9 between the parties with respect to the subject matter hereof, and supersedes all prior or
10 contemporaneous agreements, negotiations, representations, understandings, and discussions
11 between and among the parties, their respective representatives, and any other person or entity, with
12 respect to the subject matter covered hereby.

13 18. No Presumption Against Drafting Party. Each party acknowledges that he or she has
14 had the opportunity to draft, review, and edit the language of this Consent Order. Accordingly, the
15 parties intend that no presumption for or against the drafting party will apply in construing any part
16 of this Consent Order. The parties waive the benefit of California Civil Code section 1654 as
17 amended or corresponding provisions of any successor statute, which provide that in cases of
18 uncertainty, language of a contract should be interpreted most strongly against the party that caused
19 the uncertainty to exist.

20 19. Headings. The headings in this Consent Order are for convenience only and will not
21 be deemed a part hereof or affect the construction or interpretation of the provisions hereof.

22 20. Governing Law. This Consent Order shall be construed and enforced in accordance
23 with and governed by California law. Each of the parties hereto consents to the jurisdiction of such
24 court in California, administrative or otherwise, best suited to handle any action or proceeding
25 under this Consent Order, and hereby irrevocably waives, to the fullest extent permitted by law, the
26 defense of an inconvenient forum to the maintenance of such action or proceeding in such court.

27 21. Voluntary Agreement. Saturn Systems enters into this Consent Order voluntarily and
28 without coercion and acknowledges that no promises, threats or assurances have been made by the

Commissioner or any officer, or agent thereof, about this Consent Order. The parties each represent and acknowledge that he, she, or it is executing this Consent Order completely voluntarily and without any duress or undue influence of any kind from any source.

22. Notice. Any notice required under this Consent Order shall be provided to each party at the following addresses.

To Saturn Systems: June Coleman, Managing Attorney
Messer Strickler Burnette LLP
5960 South Land Park Drive #1059
Sacramento, CA 95822
jcoleman@messerstrickler.com

To the Commissioner: Natalie Balderas-Fowler, Counsel
Department of Financial Protection and Innovation
320 West 4th Street, Suite 750
Los Angeles, California 90013
Natalie.Balderas-Fowler@dfpi.ca.gov

23. Counterparts. This Consent Order may be executed in any number of counterparts, each of which will be deemed an original when executed. All counterparts together will be deemed to constitute a single document.

24. Signatures. A signature delivered by facsimile or email will be deemed an original signature.

25. Public Record. Saturn Systems acknowledges that this Consent Order is and will be a matter of public record.

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26. Effective Date. This Consent Order will become effective on the date it is signed by all parties and delivered by the Commissioner to Saturn Systems by electronic mail at jcoleman@messerstrickler.com.

27. Authority to Sign. Each signatory hereto covenants that he or she possesses all necessary capacity and authority to sign and enter into this Consent Order and undertake the obligations set forth herein.

Dated: February 7, 2025

KHALIL MOHSENI
Acting Commissioner of Financial Protection and
Innovation

By _____
MARY ANN SMITH
Deputy Commissioner
Enforcement Division

Dated: February 7, 2025

SATURN SYSTEMS, INC.

By _____
Robert Stein, President of Saturn Systems